Vouching of Cash received from Debtors.

Auditor should vouch the transaction in the following manner:

1. Verify Cash receipt or memo with respect to date of receipt, amount and name of customer from whom received.
2. Verify entry in Cash Book with reference to date, name of debtor or customer and amount.
3. Verify entry in Debtor or Customers Account with reference to date and amount.

Specimen of Cash Receipt
ABC Ltd.,
Paper Mills Road, Chennai.

Receipt No. 1513 **Date: 25.10.2016**

Received with thanks from Gopal Bros., a sum of ₹25,000\- (Rupees Twenty five thousand only) by cash on account of Invoice No.216 dated 20.10.2016.

Authorised Signatory

Dr. **Cash Book** **Cr.**

Date	Particulars	L.F	Amount ₹	Date	Particulars	L.F	Amount ₹
2016 Oct 25	To Gopal Bros.		25,000				

Gopal Bros. (Debtors/Customers) Account

Dr. **Cr.**

Date	Particulars	L.F	Amount ₹	Date	Particulars	L.F	Amount ₹
				2016 Oct 25	By Cash a/c		25,000

6.5.4 Income from Interest and Dividend

Interest income may arise from loans granted, bills of exchange accepted by customers, debentures, deposits, bonds and other investment securities. Vouching of interest received should be from instruments carrying interest bearing obligation. The auditor should ensure that accrual/receipt of interest is in accordance with terms of the instrument concerned, and properly recorded in the books of accounts. For example, interest received on account of Fixed Deposits in the bank should be vouched with the Bank Pass book.

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